



“Rural demand is expected to be upbeat in the near term, aided by robust crop output over the last two seasons and an encouraging kharif sowing outlook”

Aditi Nayar
Chief Economist, ICRA

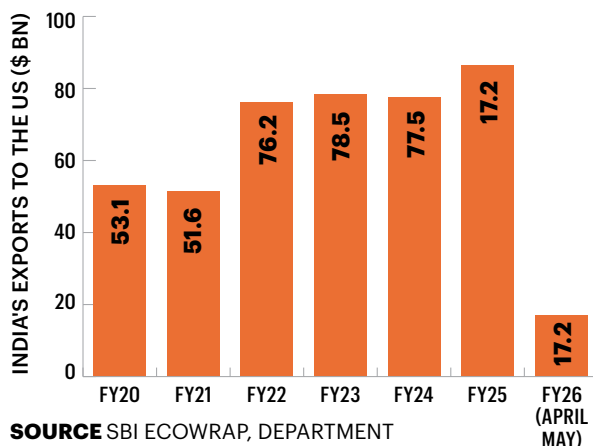


“Unless demand keeps increasing continuously, chances of an across-the-board increase in private capex are slim”

Devendra Kumar Pant
Chief Economist and Head
Public Finance, India Ratings
& Research

EXPORTS GROWTH MAY SLOW DOWN

- India's exports to the US could slow down due to higher tariffs
- US share in India's exports reached 20% in FY25 and 22.4% in FYTD 26



SOURCE SBI ECOWRAP, DEPARTMENT OF COMMERCE

On the urban front, the combination of sizeable income-tax relief, rate cuts leading to lower equated monthly instalments, and a moderation in food inflation are expected to boost disposable incomes, and consequently urban consumption, in FY26. “However, credit growth to consumption-oriented segments, like credit cards and other personal loans, moderated in the first two months of the fiscal, and needs to be monitored going forward,” she warns.

Easing retail inflation, which fell to a six-year low of 2.1% in June and is expected to stay close to 2% this fiscal, along with transmission of rate cuts by banks in the coming months, is expected to give more confidence to firms in the rest of the fiscal year.

The RBI's Households' Inflation Expectations Survey in July revealed that for both short term and one year ahead periods, inflation expectations have eased. The number of respondents anticipating a rise in both general prices and inflation has come down vis-à-vis the previous survey in May.

The other big development for India Inc seems to be plans to rationalise rates of the goods and services tax (GST). Prime Minister Narendra Modi promised next-generation GST reforms by this Diwali in his Independence Day speech, with the Centre proposing two rates of 5% and 18% along with a 40% rate on sin goods. The GST Council is expected to meet in September or October to decide on this. For 72% of respondents, multiple rates and high tax was the chief concern under GST, while for 18%, it was the high compliance burden.

The finance ministry's monthly economic review for June was also optimistic and said that with inflation remaining within the target range and monsoon on track, the domestic economy is entering the second quarter of FY26 on a relatively firm footing.

The economy has also got a thumbs up from S&P Global Ratings that has upgraded India's long-term unsolicited sovereign credit ratings on India to 'BBB' from 'BBB-' with a stable outlook. Projecting India's GDP growth at 6.5% for FY26, it also said that it does not expect the 50% tariffs (if imposed) “to pose a material drag on growth”.

Official data on Q1 GDP growth estimates will be released at the end of August. The impact of the US tariff hike will also become clearer in the coming weeks even as uncertainty prevails over a trade deal.

FY26 promises to be a roller-coaster ride. It's time to buckle up! **BT**

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